would buy a Louis Vuitton bag."

G has seen her fortunes fall and recover and treats these purchases as "a reward." Her wardrobe runs from a ₹300 T-shirt picked up at the Brahmaputra market in Noida to a ₹3 lakh shirt. This year, she bought Valentino heels for about ₹1.3 lakh, chosen for comfort because she has flat feet, and a Loro Piana bag that cost ₹4 lakh.

Nikasha Chandhok loves her scarves like G loves her shades. She buys wherever a colour or a print catches her eye, even from thrift stores. When she bought a Chanel scarf from a Delhi mall last year, she was thrilled. "It's classy and makes me feel good. When I wear it, I feel nicer, confident, precious, like I have achieved something," says the 33-year-old education entrepreneur.

She is clear what drives her: social media. More specifically, Instagram. When she was growing up, magazines like *Vogue* and *Cosmopolitan* showed models and strangers. "Instagram shows people you know," says Chandhok. Two months ago, she bought a Tory Burch sling bag for ₹1.1 lakh. The next item on her list is a Gucci tote.

While G has slowed down—she buys fewer things and spends more on each—Chandhok is buying "way more" than three-four years ago, and "definitely more premium". Both are spending more. Both are trading up.

G and Chandhok are part of a market that is growing fast. The Atlas of Affluence 2026, a study of affluent consumers in six Indian cities by Kantar for *The Voice of Fashion*, finds a shift towards more considered consumption—fewer acquisitions, greater attention to quality, and a growing premium on experience.

But the shift is uneven. Chandhok's experience suggests the desire to buy better can coexist with the pressure to keep up. Among younger consumers, online reviews are increasingly influencing purchases. For some, trading up means buying fewer things of better quality; for others, it means entering a world of brands and status that social media has made harder to ignore.

The larger pattern: India's affluent are spending more on luxury without following the rules of the global industry. That has made India, one of the few luxury markets growing at a decent rate, one of the hardest to understand.

A Snapshot

Global luxury spending (goods and experiences) is stabilising

€1,443
BILLION: 2025

€1,440-1,470
BILLION: 2026F

Global spending on luxury goods is expected to recover marginally

€364
BILLION: 2024

€358
BILLION: 2025

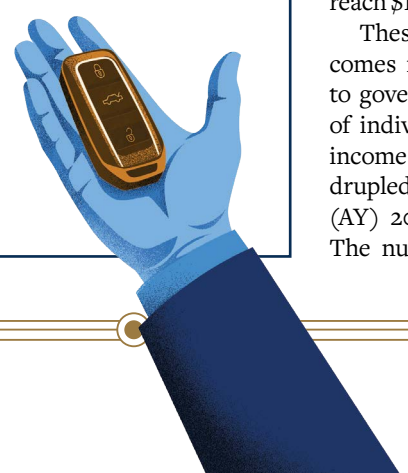
€365–373
BILLION: 2026F

India's luxury market is still expanding

$7.74
BILLION: 2023

$12
BILLION: 2028F

SOURCE
BAIN-ALTAGAMMA, KEARNEY



THE OUTLIER

Global luxury spending was €1.4 trillion (around ₹149 lakh crore at current exchange rate) in 2025, but spending on personal luxury goods fell 2% to €358 billion at current exchange rates as people chose experiences over products amid economic uncertainty, according to the Bain-Altagamma Luxury Goods Worldwide Market Study. This year, that market is expected to grow by 2-4%. The number of luxury consumers fell from about 400 million in 2022 to 340 million in 2025, Bain estimates.

India seems to have bucked the trend so far. While the study doesn't give a separate assessment for India, it puts the Middle East, Southeast Asia, Latin America and Africa and India together at about €45 billion, roughly as much as mainland China, where spending is expected to shrink by 3–5%. Euromonitor pegs India's luxury market at around $12 billion (₹1.14 lakh crore at current exchange rate) in 2025. However, Kearney estimates differ; it expects the market to reach $12 billion by 2028.

These numbers coincide with incomes rising at the top. According to government figures, the number of individuals reporting gross total income of ₹100 crore or more quadrupled from 142 in assessment year (AY) 2021-22 to 576 in AY2025-26. The number of individuals declar-